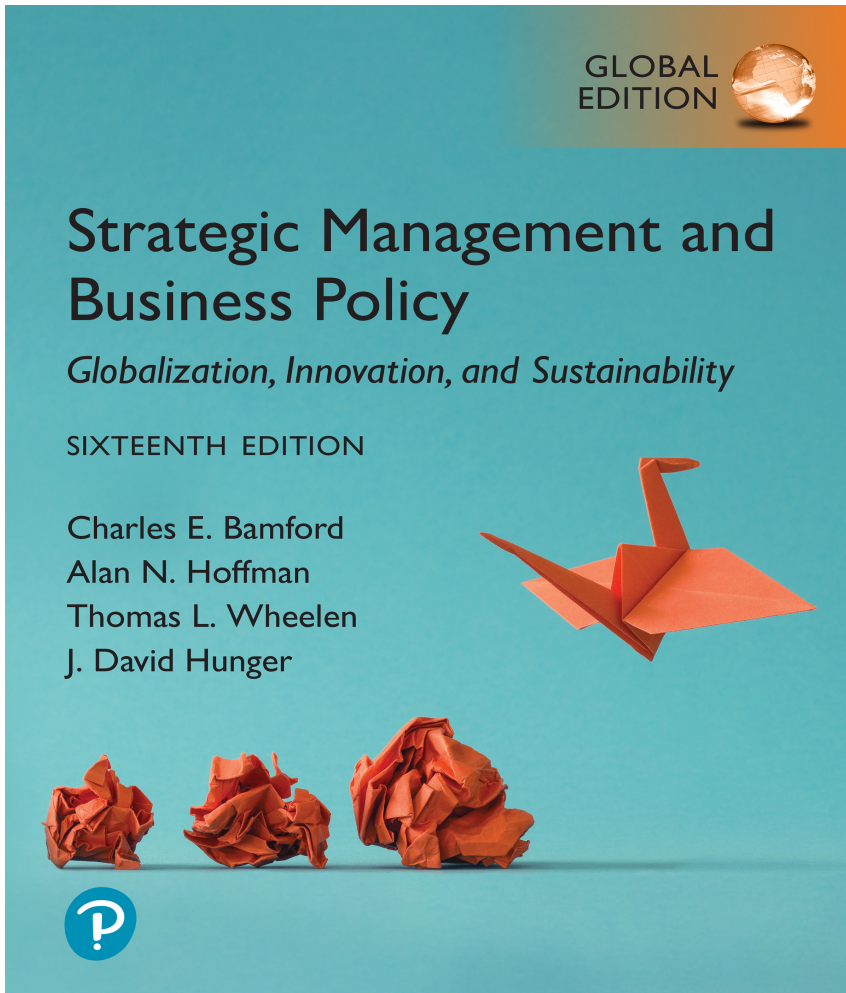


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 4

Environmental Analysis and Industry Analysis

Environmental Uncertainty

- **Environmental uncertainty**
 - the **degree of complexity** plus the **degree of change** that exists in an organization's external environment
 - environmental uncertainty is increasing due to;
markets becoming more global
technological change

Environmental Analysis

- **Environmental analysis**
 - the monitoring, evaluation, and dissemination of information relevant to the organizational development of strategy

Identifying External Environmental Variables (1 of 4)

- **Natural environment**
 - includes physical resources, wildlife, and climate that are an inherent part of existence on Earth
 - form an ecological system of interrelated life

Identifying External Environmental Variables (2 of 4)

- **Societal environment**
 - humankind's social system that includes general forces that do not directly touch on the short-run activities of the organization, but that can influence its long-term decisions
 - factors: economic, technological, political–legal, sociocultural

Identifying External Environmental Variables (3 of 4)

- **Task environment**
 - those elements or groups that directly affect a corporation and, in turn, are affected by it
 - government, local communities, suppliers, competitors, customers, creditors, employees/labor unions, special-interest groups, and trade associations

Identifying External Environmental Variables (4 of 4)

- **Industry analysis**
 - an in-depth examination of key factors within a corporation's task environment

Analyzing the Natural Environment (1 of 2)

- The natural environment includes;
 - Physical resources
 - Wildlife
 - Climate

Exploitation of these natural resources has resulted in **externalities**, or side effects such as pollution

Analyzing the Natural Environment (2 of 2)

Sustainability is premised on the view that long-term survival of society depends on the responsible use of these resources

A firm's **carbon footprint** is one way to measure a firm's commitment to sustainability

Analyzing the Societal Environment: STEEP Analysis (1 of 3)

- **STEEP** analysis
 - monitoring trends in the societal and natural environments
 - sociocultural, technological, economic, ecological, and political–legal forces

Table 4-1 Some Important Variables in the Societal Environment

Sociocultural	Technological	Economic	Ecological	Political–Legal
Lifestyle changes Career expectations Consumer activism Rate of family formation Growth rate of population Age distribution of population Regional shifts in population Life expectancies Birth rates Pension plans Health care Level of education Living wage Unionization	Total government spending for R&D Total industry spending for R&D Focus of technological efforts Patent protection New products New developments in technology transfer from lab to marketplace Productivity improvements through automation Internet availability Telecommunication infrastructure Computer hacking activity	GDP trends Interest rates Money supply Inflation rates Unemployment levels Wage/price controls Devaluation/revaluation Energy alternatives Energy availability and cost Disposable and discretionary income Currency markets Global financial system	Environmental protection laws Global climate change impacts Non-governmental organizations Pollution impacts Reuse Triple bottom line Recycling	Antitrust regulations Environmental protection laws Global climate change legislation Immigration laws Tax laws Special incentives Foreign trade regulations Attitudes toward foreign companies Laws on hiring and promotion Stability of government Outsourcing regulation Foreign “sweatshops”

Analyzing the Societal Environment:

STEEP Analysis (2 of 3)

Current Sociocultural Trends include:

- Increasing environmental awareness
- Growing health consciousness
- Expanding seniors' market
- Impact of millennials
- Declining mass market
- Changing pace and location of life
- Changing household composition
- Increasing diversity of workforce and markets

Analyzing the Societal Environment:

STEEP Analysis (3 of 3)

Categories of Risk: Climate Change

- Regulatory
- Supply chain
- Product and technology
- Litigation
- Reputational
- Physical

International Societal Considerations

Multinational corporation (MNC) is a company with significant assets and activities in multiple countries. MNCs conduct the following activities in other countries;

- marketing
- financial
- manufacturing
- other functional activities

Every country a company operates in presents a unique societal environment

Table 4-3 Some Important Variables in International Societal Environments

Sociocultural	Technological	Economic	Ecological	Political–Legal
Customs, norms, values Language Demographics Life expectancies Social institutions Status symbols Lifestyle Religious beliefs Attitudes toward foreigners Literacy level Human rights Environmentalism “Sweatshops” Pension plans Health care Slavery	Regulations on technology transfer Energy availability/cost Natural resource availability Transportation network Skill level of workforce Patent-trademark protection Internet availability Telecommunication infrastructure Computer hacking technology New energy sources	Economic development Per capita income Climate GDP trends Monetary and fiscal policies Unemployment levels Currency convertibility Wage levels Nature of competition Membership in regional economic associations—e.g., EU, NAFTA, ASEAN Membership in World Trade Organization (WTO) Outsourcing capability Global financial system	Non-governmental groups Passion for environmental causes Infrastructure to handle recycling	Form of government Political ideology Tax laws Stability of government Government attitude toward foreign companies Regulations on foreign ownership of assets Strength of opposition groups Trade regulations Protectionist sentiment Foreign policies Terrorist activity Legal system Global warming laws Immigration law

Figure 4-1

Scanning External Environment

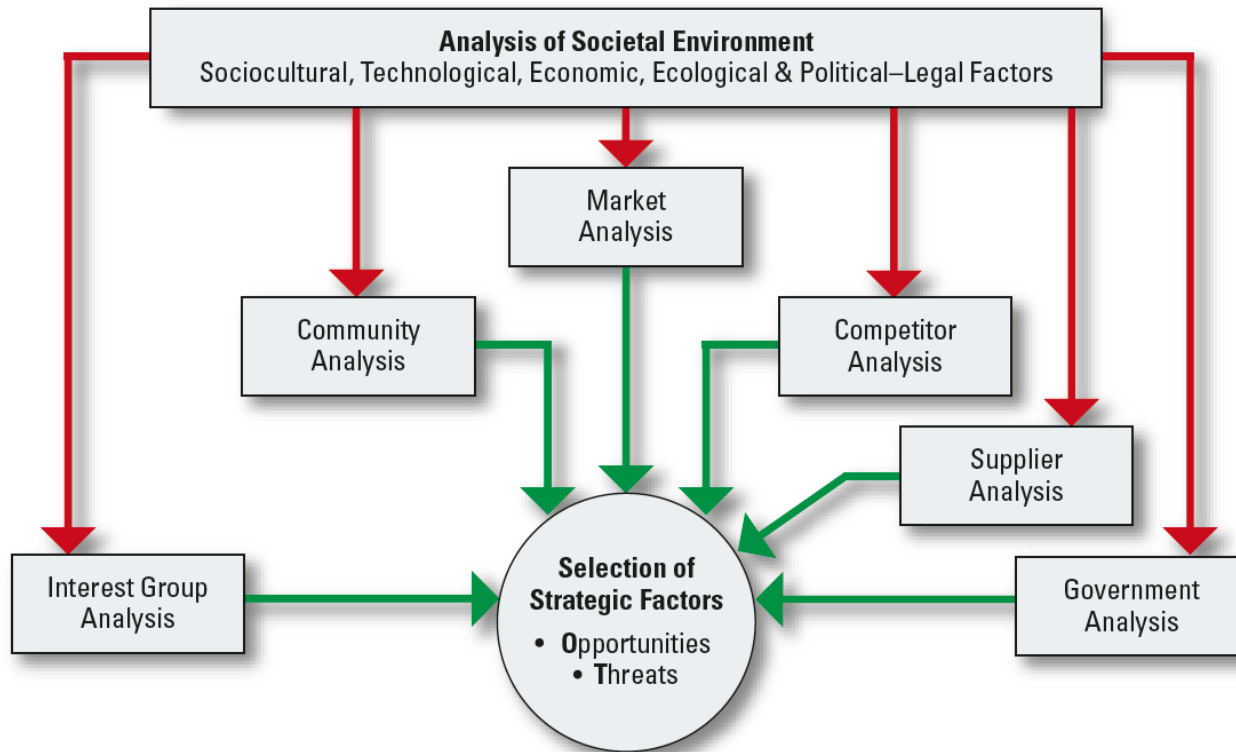
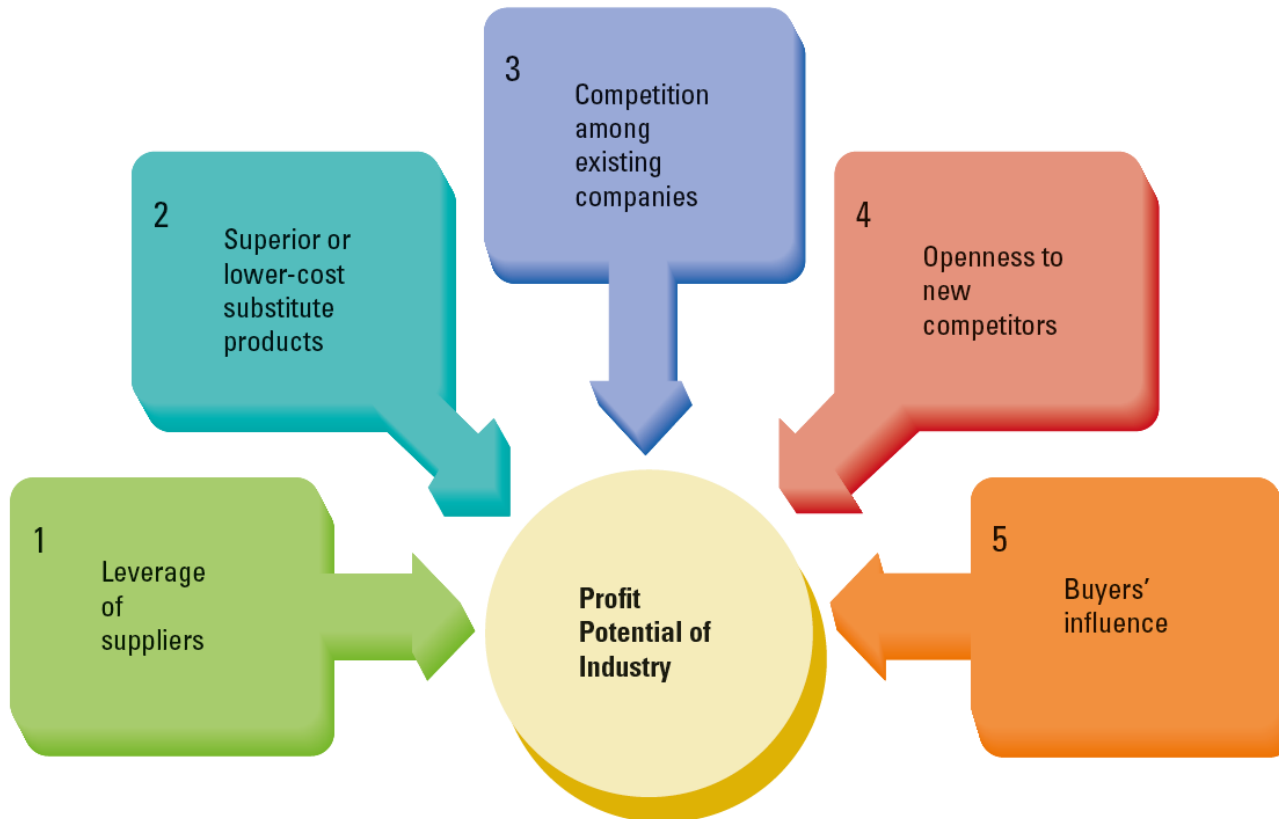


Figure 4-2

Forces Driving Industry Competition



Threat of New Entrants (1 of 2)

- **Threat of new entrants**
 - new entrants to an industry bring new capacity, a desire to gain market share and substantial resources
- **Entry barrier**
 - an obstruction that makes it difficult for a company to enter an industry

Threat of New Entrants (2 of 2)

Some of the possible barriers to entry are:

- Economies of scale
- Product differentiation
- Capital requirements
- Switching costs
- Access to distribution channels
- Cost disadvantages independent of size
- Government policy

Rivalry among Existing Firms (1 of 2)

- In most industries, corporations are mutually dependent.
- A competitive move by one firm can be expected to have a noticeable effect on its competitors and thus may cause retaliation.

Rivalry among Existing Firms (2 of 2)

According to Porter, intense rivalry is related to the presence of several factors, including:

- Number of competitors
- Rate of industry growth
- Product or service characteristics
- Amount of fixed costs
- Capacity
- Height of exit barriers
- Diversity of rivals

Threat of Substitute Products or Services

- **Substitute product**
 - a product that appears to be different but can satisfy the same need as another product
- The identification of possible substitute products means searching for products that can perform the same function, even though they have a different appearance.

The Bargaining Power of Buyers (1 of 2)

- Buyers affect an industry through their ability to force down prices, bargain for higher quality or more services, and play competitors against each other.

The Bargaining Power of Buyers (2 of 2)

- **Bargaining power of buyers:**
 - Large purchases
 - Backward integration
 - Alternative suppliers
 - Low cost to change suppliers
 - Product represents a high percentage of buyer's cost: Incented to shop around
 - Buyer earns low profits: Cost/service sensitive
 - Product is unimportant to buyer

The Bargaining Power of Suppliers (1 of 2)

- Suppliers can affect an industry through their ability to raise prices or reduce the quality of purchased goods and services.

The Bargaining Power of Suppliers (2 of 2)

A buyer or a group of buyers is powerful if some of the following factors hold true:

- Industry is dominated by a few companies
- Unique product or service
- Substitutes are not readily available
- Ability to forward integrate
- Unimportance of product or service to the industry

Relative Power of Other Stakeholders

- Government
- Local communities
- Creditors
- Trade associations
- Special-interest groups
- Unions
- Shareholders
- Complementors

Industry Evolution

- **Fragmented industry**
 - no firm has a large market share, and each firm only serves a small piece of the total market in competition with other firms
- **Consolidated industry**
 - domination by a few large firms, each struggles to differentiate products from its competition

Categorizing International Industries

- **Multi-domestic industries**
 - specific to each country or group of countries
- **Global Industries**
 - operate worldwide with multinational companies making only small adjustments for country-specific circumstances
- **Regional industries**
 - multinational companies primarily coordinate their activities within regions

Figure 4-3

Continuum of International Industries

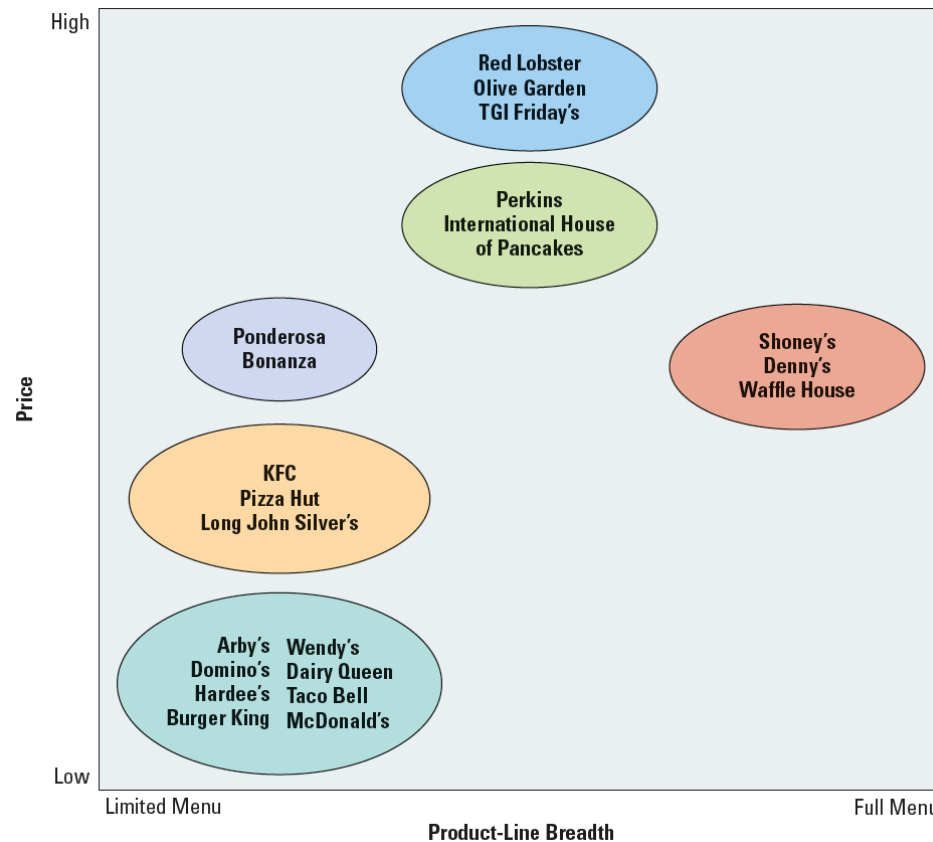


Strategic Groups

- **Strategic group**
 - a set of business units or firms that pursue similar strategies with similar resources
 - strategic groups in a particular industry can be mapped by plotting the market positions of industry competitors on a two-dimensional graph, using two strategic variables as the vertical and horizontal axes

Figure 4-4

Mapping Strategic Groups in the U.S. Restaurant Chain Industry



Strategic Types

- **Defenders**
 - focus on improving efficiency
- **Prospectors**
 - focus on product innovation and market opportunities
- **Analyzers**
 - focus on at least two different product market areas
- **Reactors**
 - lack a consistent strategy-structure-culture relationship

Hypercompetition

- Market stability is threatened by:
 - short product life cycles
 - short product design cycles
 - new technologies
 - frequent entry by unexpected outsiders
 - repositioning by incumbents
 - tactical redefinitions of market boundaries as diverse industries merge

Using Key Success Factors to Create an Industry Matrix

- **Key success factors**
 - Variables that can significantly affect the overall competitive positions of companies within any particular industry

Table 4-4 Industry Matrix

- **Industry matrix**
 - summarizes the key success factors within a particular industry

Key Success Factors	Weight	Company A Rating	Company A Weighted Score	Company B Rating	Company B Weighted Score
1	2	3	4	5	6
Total	<u>1.00</u>	-	-	-	-

Source: T. L. Wheelen and J. D. Hunger, Industry Matrix. Copyright © 1997, 2001, and 2005 by Wheelen & Hunger Associates. Reprinted with permission.

Competitive Intelligence

- **Competitive intelligence**
 - a formal program of gathering information on a company's competitors
 - also called business intelligence
- Sources of **competitive intelligence**:
 - social media
 - information brokers
 - Internet
 - industrial espionage
 - investigatory services

Monitoring Competitors for Strategic Planning (1 of 2)

1. Why do your competitors exist? Do they exist to make profits or just to support another unit?
2. Where do they add customer value?
3. Which of your customers are the competitors most interested in? Are they cherry-picking your best customers, picking the ones you don't want, or going after all of them?
4. What is their cost base and liquidity? How much cash do they have? How do they get their supplies?
5. Are they less exposed with their suppliers than your firm? Are their suppliers better than yours?

Monitoring Competitors for Strategic Planning (2 of 2)

6. What do they intend to do in the future? Do they have a strategic plan to target your market segments? How committed are they to growth? Are there any succession issues?
7. How will their activity affect your strategies? Should you adjust your plans and operations?
8. How much better than your competitor do you need to be in order to win customers? Do either of you have a competitive advantage in the marketplace?
9. Will new competitors or new ways of doing things appear over the next few years? Who is a potential new entrant?
10. If you were a customer, would you choose your product over those offered by your competitors? What irritates your current customers? What competitors solve these particular customer complaints?

Useful Forecasting Techniques (1 of 3)

Some useful forecasting techniques are:

- Extrapolation
- Brainstorming
- Expert opinion
- Delphi technique
- Statistical modeling
- Prediction markets
- Cross-impact analysis (CIA)
- Scenario writing and scenario planning

Useful Forecasting Techniques (2 of 3)

Industry Scenario Process Steps are:

1. Examine possible shifts in the natural environment and in societal variables globally.
2. Identify uncertainties in each of the six forces of the task environment (i.e., potential entrants, competitors, likely substitutes, buyers, suppliers, and other key stakeholders).
3. Make a range of plausible assumptions about future trends.
4. Combine assumptions about individual trends into internally consistent scenarios.

Useful Forecasting Techniques (3 of 3)

5. Analyze the industry situation that would prevail under each scenario.
6. Determine the sources of competitive advantage under each scenario.
7. Predict competitors' behavior under each scenario.
8. Select the scenarios that are either most likely to occur or most likely to have a strong impact on the future of the company. Use these scenarios as assumptions in strategy formulation.

Table 4.5 External Factor Analysis Summary (EFAS Table): Skechers USA as Example (1 of 4)

Opportunities

External Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
• Global marketplace	.15	5	.75	Skechers moved into regions around the world with retail stores and distribution centers
• Consumer need for shoes	.10	5	.50	Consumers consistently need new athletic and leisure shoes, and Skechers offers them for lower prices than competitors
• E-commerce sales	.10	5	.50	Skechers e-commerce sales have been lacking
• Social media popularity	.00	2	.00	Skechers social media does not have as many followers as main competitors
• Customized footwear	.00	1	.00	Skechers does not customize shoes like Nike and Adidas
• Cultural interest in staying fit and active	.05	4	.20	Interest in staying fit means individuals will buy shoes
• Giving back to the community	.00	3	.00	Giving back is part of Skechers Triple Bottom Line
• Following celebrity endorsements	.00	4	.00	Skechers focused on getting celebrity endorsements for their niche market
• Brand awareness	.10	3	.30	As a global brand, Skechers has a lot of brand awareness, but not as much as the top 4 companies

Table 4.5 External Factor Analysis Summary (EFAS Table): Skechers USA as Example (2 of 4)

Threats

External Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
• Foreign currency exchange	.00	5	.00	Foreign currency that doesn't translate well to the dollar means a profit loss
• "Bing Bang Disruption"	.15	4	.60	Skechers could be popular in one region today, but not popular tomorrow. At the same time, Skechers could oust one of the big competitors quickly, but it is not as likely.
• Red Ocean Environment	.10	3	.30	Skechers has a difficult time competing in an environment where there was almost no room for growth
• Four companies controlled 75% of the market	.15	3	.45	With only four companies controlling 75% of the market, it became a major challenge for Skechers to grow
• Ethics laws	.00	1	.00	Skechers ran into some ethics violations. For example, they violated employee regulations
• Importing laws	.00	5	.00	While it is a hassle to follow import laws, it is necessary if Skechers wants to grow internationally
• Intellectual property rights	.05	1	.05	Skechers has been accused of violating multiple intellectual property rights including patent infringements
• Changing consumer tastes	.05	4	.20	Changing consumer tastes means the footwear industry has to constantly keep updating their fashion
Total Scores	1.00	-	3.85	-

Table 4.5 External Factor Analysis Summary (EFAS Table): Skechers USA as Example (3 of 4)

Notes:

1. List opportunities and threats (8–10) in Column 1.
2. Weight each factor from 1.0 (Most Important) to 0.0 (Not Important) in Column 2 based on that factor's probable impact on the company's strategic position. **The total weights must sum to 1.00.**
3. Rate each factor from 5.0 (Outstanding) to 1.0 (Poor) in Column 3 based on the company's response to that factor.
4. Multiply each factor's weight times its rating to obtain each factor's weighted score in Column 4.
5. Use Column 5 (comments) for the rationale used for each factor.
6. Add the individual weighted scores to obtain the total weighted score for the company in Column 4. This tells how well the company is responding to the factors in its external environment.

Table 4.5 External Factor Analysis Summary (EFAS Table): Skechers USA as Example (4 of 4)

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Q & A